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Amending Acts

1. Republic Strengthening and Some Nepal Laws Amendment Act, 2066 2066.10.7
2. Some Nepal Acts Amendment Act, 2072 2072.11.13
3. Some Nepal Acts Amendment to Make Compatible with the Constitution of Nepal Act, 2075 2075.11.19

Act No. 40 of the Year 2049

An Act Made to Provide for Water Resources

Preamble: Whereas, it is expedient to make legal provisions for the proper utilization, conservation, management and development of water resources existing on the surface, underground or in any other state within Nepal Removed by the Republic Strengthening and Some Nepal Laws Amendment Act, 2066., and for determining the beneficial uses of water resources, preventing environmental and other harmful effects from such use, and keeping water resources free from pollution;

Now, therefore, Parliament has enacted this Act in the twenty-first year of the reign of His Majesty King Birendra Bir Bikram Shah Dev. 1. Short Title and Commencement: (1) This Act may be called the "Water Resources Act, 2049".

(2) This Act shall come into force on such date as the Government of Nepal may, by notification in the Nepal Gazette, appoint. 2. Definitions: In this Act, unless the subject or context otherwise requires,-

(a) "Water Resources" means water existing on the surface, underground or in any other state within Nepal Removed by the Republic Strengthening and Some Nepal Laws Amendment Act, 2066..

(b) "Beneficial Use" means the use of water resources made in a proper manner to the extent possible with available means and resources.

(c) "Licensee" means a person or an incorporated body who has obtained a license under Section 8 to use water resources.

(d) "Consumer Association" means a water consumer association formed under Section 5.

(e) "Prescribed" or "As Prescribed" means prescribed or as prescribed in the Rules made under this Act. 3. Ownership of Water Resources: The ownership of water resources within Nepal Removed by the Republic

Strengthening and Some Nepal Laws Amendment Act, 2066. shall be vested in Nepal Removed by the Republic Strengthening and Some Nepal Laws Amendment Act, 2066.. 4.

Use of Water Resources: (1) No person shall use water resources without obtaining a license under this Act. (2) Notwithstanding anything contained in Sub-section (1), a license shall not be required to use water resources as follows:- (a) For drinking water and other domestic use for oneself, individually or collectively, (b) For irrigation of one's own land, individually or collectively, (c) To operate a water mill or water wheel as a cottage industry, (d) To use stones for local travel, individually, (e) For a land owner to use water resources confined within his land only as prescribed. (3) A person or an incorporated body using water resources shall make beneficial use thereof in such a manner as not to cause harm to others. 5. Formation of Water Consumer Association: (1) Persons desiring to use water resources institutionally for collective benefit may form a water consumer association as prescribed. (2) A water consumer association formed under Sub-section (1) shall be registered as prescribed with the prescribed authority or body. 6. Consumer Association to be an Incorporated Body: (1) A consumer association shall be a self-governing and incorporated body with perpetual succession. (2) The consumer association shall have a separate seal for all its acts and proceedings. (3) The consumer association may, like a natural person, acquire, possess, sell or otherwise dispose of movable and immovable property. (4) The consumer association may, like a natural person, sue and be sued in the same name. 7. Priority Order for Use of Water Resources: (1) While using water resources, the following priority order shall generally be followed:- (a) Drinking water and domestic use, (b) Irrigation, (c) Agricultural uses such as livestock farming and fish farming, (d) Hydropower, (e) Cottage industry, industrial enterprise and mining uses, (f) Water transportation, (g) Recreational use, (h) Other uses. (2) If any dispute arises while using water resources, the committee prescribed shall, taking into account the priority order under Sub-section (1), whether the water resources have been beneficially used under Sub-section (3) of Section 4, and other necessary inquiries, determine on that basis whether the concerned water resource may be used or not, or in what manner it may be used. (3) The determination made by the prescribed committee under Sub-section (2) shall be binding on all concerned. (4) The procedure to be followed by the prescribed committee in determining the matters referred to in Sub-section (2) shall be as prescribed. 8.

Provisions Relating to License: (1) A person or an incorporated body desiring to survey or use water resources shall submit an application to the prescribed authority or body for a license, along with an economic, technical and environmental study report of the relevant subject and details as prescribed. Provided that, while submitting an application for a license to survey water resources, it shall not be necessary to attach such a study report. (2) Upon receipt of an application under Sub-section (1), the prescribed authority or body shall, after making or causing to be made necessary inquiries, grant a license to the applicant in the form as prescribed, within thirty days in the case of a license for survey of water resources, and within one hundred twenty days in the case of a license for use of water resources, stipulating necessary conditions according to the priority order referred to in Sub-section (1) of Section 7. (3) Except as provided in Sub-section (2) of Section 4, a person or an incorporated body who has been using water resources even before the commencement of this Act shall also submit an application for a license to the prescribed authority or body within one year from the date of commencement of this Act, along with prescribed particulars. (4) Upon receipt of an application under Sub-section (3), the prescribed authority or body shall, after making necessary inquiries, grant a license in the form as prescribed within sixty days from the date of application. (5) A licensee shall pay to the Government of Nepal such fee or annual charge as prescribed for the use of water resources. (6) If a licensee has to sell or otherwise transfer his license to any person, he shall obtain approval from the prescribed authority or body as prescribed. 9. Use of Water

Resources for Hydropower: (1) Notwithstanding anything contained in Section 8, the license for surveying and using water resources for the generation of hydropower shall be governed by the prevailing law. (2) Other matters relating to the use of water resources in the course of generating hydropower shall be governed by this Act. 10. Government of Nepal May Use or Develop Water Resources: (1) Nothing in this Act shall be deemed to prevent the Government of Nepal from itself using or developing any water resource. (2) The Government of Nepal may itself take over and develop any water resource used by any person under this Act, and the land, buildings, equipment and structures connected therewith, for extensive public use.

Explanation: For the purposes of this Act, "extensive public use" means a use that benefits a larger population without causing significant adverse effect to the population benefited by the existing use.

(3) The Government of Nepal shall pay compensation as prescribed to the person concerned for the land, buildings, equipment or structures connected with the use of the water resource taken over under Sub-section (2).

(4) The amount of compensation payable under Sub-section (3) shall be determined on the basis of the current value of the land, buildings, equipment and structures taken over by the Government of Nepal under Sub-section (2) (after deducting wear and tear and depreciation from ordinary use). Added by the Some Nepal Acts Amendment to Make Compatible with the Constitution of Nepal Act, 2075.10a. Province and Local Level May Use or Develop Water Resources: The Government of Nepal may, by notification in the Nepal Gazette, prescribe the levels, capacities or quantities of water resources including drinking water, hydropower, irrigation, in respect of which the Province or Local Level may make law and use or develop water resources pursuant to such law. 11. Transfer of Water Resources Development Project: (1) After the construction of any water resource related project developed by the Government of Nepal under Sub-section (1) or (2) of Section 10 is completed, the Government of Nepal may transfer it to a consumer association, stipulating necessary conditions.

(2) The ownership of the project transferred under Sub-section (1) shall vest in the concerned consumer association, and the consumer association shall operate that project as if it had obtained a license itself, subject to this Act. 12. Contract for Use of Water Resources: Notwithstanding anything contained elsewhere in this Act, the Government of Nepal may, subject to the prevailing law, make a contract with any domestic or foreign company, incorporated body or person, and develop, use and expand services of any water resource according to the conditions mentioned in such contract. 13. Power to Prescribe Terms of Service and Collect Service Charges: (1) A licensee may provide the service of using water resources developed by himself to another person on the basis of mutual terms and collect charges for such service.

(2) The Government of Nepal may determine and collect service charges as prescribed for providing the service of using water resources developed by it to another person. 14. Service May Be Disconnected: The service may be disconnected in the case of a person who fails to pay the charges payable for availing the service, or who uses such service without authorization, or who misuses the service, or who avails the service contrary to the terms. 15.

Entry into Another's House and Land: If the Government of Nepal or a licensee has to enter any person's house and land in the course of survey or use of water resources, an employee deputed by the Government of Nepal or the licensee may enter such house and land only after giving prior notice to the concerned person. If any loss or damage is caused thereby, the Government of Nepal or the licensee shall pay compensation as prescribed. Provided that, if there is reasonable cause to suspect unauthorized use or misuse of water resources in any house and land, such employee may enter the concerned house and land

without prior notice to inspect the matter or to prevent any accident. 16. Use or Acquisition of Another's House and Land: (1) If it is necessary to use or acquire another person's house and land for doing any of the following works for the use of water resources, a licensee may submit an application to the Government of Nepal as prescribed:- (a) To construct a dam or embankment, (b) To excavate a canal, watercourse or tunnel, (c) To construct a water tank above or below ground or to lay a pipeline, (d) To construct a pond or establish a water distribution centre, (e) To carry out other necessary construction works related to the development of water resources. (2) Upon receipt of an application under Sub-section (1), the Government of Nepal may, after making necessary inquiries in that regard, cause the licensee to acquire such house and land in the same manner as land is caused to be acquired for an incorporated body under the prevailing law. (3) If the Government of Nepal or a licensee has carried out any construction work related to the development or use of water resources, the Government of Nepal may prohibit any other person from using the place where such construction work has been carried out, or the house and land within a prescribed distance around such place, for any particular purpose. The Government of Nepal or the licensee shall pay compensation as prescribed for the loss or damage caused to the concerned person by such prohibition. 17.

Safety of Structures Connected with Use of Water Resources: (1) For the safety of any structure connected with the use of water resources, the Government of Nepal may, upon the request of a licensee or on its own motion if it deems necessary to provide such safety, make necessary arrangements. (2) If safety arrangements are made upon the request of a licensee under Sub-section (1), all expenses incurred therefor shall be borne by the licensee. 18. Prescribing Quality of Water Resources: (1) The Government of Nepal may, by notification in the Nepal Gazette, prescribe the required quality in respect of various uses of water resources. (2) While using water resources, it shall be done in a manner that maintains the quality prescribed under Sub-section (1). 19. Not to Pollute Water Resources: (1) The Government of Nepal may, by notification in the Nepal Gazette, prescribe the tolerance limit for pollution of water resources. (2) No person shall pollute water resources by putting or using any kind of waste, industrial effluent, poison, chemical or biological substance in a manner that exceeds the tolerance limit for pollution of water resources prescribed under Sub-section (1). (3) The prescribed authority may, as necessary, test or cause to be tested whether any water resource is polluted or whether it meets the quality prescribed under Sub-section (1) of Section 18 in relation to any use of water resources. 20. Not to Cause Significant Adverse Effect on Environment: While using water resources, it shall be done in such a manner as not to cause significant adverse effect on the environment by soil erosion, flood, landslide or other similar causes. 21. License May Be Cancelled: (1) If a licensee does any act contrary to this Act or the Rules made under this Act, the prescribed authority may, by specifying a period, order him to make necessary correction of such act. (2) If the licensee fails to make necessary correction within the period specified under Sub-section (1), the prescribed authority may cancel the license obtained by such person. (3) Before cancelling the license under Sub-section (2), the prescribed authority shall give the concerned licensee a reasonable opportunity to present his defence. 22.

Penalties: (1) If any person contravenes this Act or the Rules made under this Act, the prescribed authority may impose a fine of up to five thousand rupees on him, and if any loss or damage has been caused to any person by such offence, may also order him to pay compensation for such loss or damage. (2) If any person uses water resources without obtaining a license required under this Act or without complying with the conditions mentioned in the license, the prescribed authority may impose a fine of up to five thousand rupees on him and cause such act to be stopped. (3) If any person steals, misuses or makes unauthorized use of water resources developed under this Act or the service generated from such water resources, the prescribed authority may recover the amount of loss from him and also impose a fine equal to the amount of loss. (4) If any person, with evil intent, demolishes, damages or causes any loss or harm to any source of drinking

water, dam, canal or any structure connected with the use of water resources, or any other structure affecting such structure, or abets or attempts to do any such act, he shall be liable to recover the amount of loss and to a fine equal to the amount of loss or imprisonment for up to ten years or both. 23. Appeal: A person who is not satisfied with the amount of compensation given under Section 10, 15 or 16, or with the cancellation of a license by the prescribed authority under Section 21, or with an order of punishment given by the prescribed authority under Sub-section (1), (2) or (3) of Section 22, may file an appeal in the Amended by the Some Nepal Acts Amendment Act, 2072. High Court within thirty-five days. 24.

Power to Make Rules: (1) The Government of Nepal may make Rules for the purpose of implementing the objectives of this Act. (2) Without prejudice to the generality of the power conferred by Sub-section (1), the Government of Nepal may, in particular, make Rules on the following matters:- (a) Matters relating to drinking water, irrigation, water transportation, industrial use, recreational use and other similar uses of water resources, (b) Matters relating to water resources conservation, flood control and landslide prevention, (c) Environmental matters, (d) Matters relating to fees, charges, etc. payable to the Government of Nepal for availing services related to water resources, (e) Matters relating to prevention of pollution of water resources, (f) Methods of various uses of water resources, (g) Matters relating to determination of the level of service generated from the use of water resources, (h) Matters relating to accidents that may occur from the use of water resources and their inquiry and compensation, (i) Matters relating to consumer association and other provisions concerning consumers, as well as matters relating to protection and facilities for consumers, (j) Other necessary matters relating to the development and use of water resources. 25. Repeal and Saving: (1) The Canal, Electricity and Related Water Resources Act, 2024 is hereby repealed. (2) Any act or proceeding done under the Canal, Electricity and Related Water Resources Act, 2024, or under the Rules made or Orders issued under that Act, prior to the commencement of this Act, shall be deemed to have been done under this Act.